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September 16, 2025

Vanessa A. Countryman, Secretary
U.S. Securities and Exchange Commission
100 F Street NE
Washington, DC 20549-1090

Re: File Number 4-862, SEC Roundtable on Trade-Through Prohibitions

Dear Ms. Countryman,

Robinhood Financial LLC and Robinhood Securities, LLC[1] (together, "Robinhood") submit this letter regarding the U.S. Securities and Exchange Commission's ("SEC") announcement of its roundtable on September 18, 2025, to discuss trade-through prohibitions in the National Market System ("NMS") stock and listed options markets.[2] We believe that this rule, which is now twenty years old, warrants review and we support continued modernization of the NMS. Specifically, we are writing to express our views on Rule 611's trade-through prohibition for NMS stocks. Robinhood takes pride in providing low-cost brokerage services to millions of investors through a modern, technology-forward brokerage platform. In recent decades, the U.S. securities markets have transformed from a marketplace where most Americans could not afford to participate to today's markets where the cost of trading has never been lower, platforms and educational tools have never been stronger, and market participation has never been more widespread.

By way of background, the origins of the NMS begin with the Securities Acts Amendments of 1975 ("1975 Amendments"), which mandated that the SEC facilitate the establishment of a national market system.[3] When signing the 1975 Amendments into law, President Ford stated that they charge the industry and the SEC to work cooperatively and it is intended that "the national market system evolve through the interplay of competitive forces, as unnecessary regulatory restrictions are removed."[4] Thirty years later, the SEC adopted Regulation National Market System ("Reg NMS"), which included Rule 611.[5] Reg NMS, and particularly Rule 611, was controversial from the outset and remains so two decades later.[6] The SEC voted 3-2 to approve Reg NMS, with Commissioners (now Chairman) Paul Atkins and

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[1] Robinhood Financial LLC and Robinhood Securities, LLC are FINRA-member broker-dealers, and are wholly owned subsidiaries of Robinhood Markets, Inc.
[2] Press Release, *SEC Announces Roundtable on Trade-Through Prohibitions*, SEC (Jul. 21, 2025) ("Rule 611 Roundtable Press Release"),
https://www.sec.gov/newsroom/press-releases/2025-99-sec-announces-roundtable-trade-through-prohibitions.
[3] *See* Securities Acts Amendments of 1975, Pub. L. 94-29, 89 Stat. 97 (1975) ("1975 Amendments").
[4] *See* President Gerald Ford, *Statement on Signing the Securities Acts Amendments of 1975* (Jun. 5, 1975), https://www.presidency.ucsb.edu/documents/statement-signing-the-securities-acts-amendments-1975.
[5] *See* Exchange Act Release No. 51808 (Jun. 9, 2005), 70 FR 37496 (Jun. 29, 2005) ("Adopting Release").
[6] Hester Peirce, Rethinking the National Market System, 43 J. CORP. L. 649 (2018).

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Cynthia Glassman dissenting on the basis that, among other things, Reg NMS was regulatory intervention at odds with the goals of protecting competition within the national market system.[7]

Rule 611 requires trading centers (e.g., national securities exchanges, alternative trading systems ("ATSs"), market makers, and other trading venues), to establish, maintain, and enforce policies and procedures reasonably designed to prevent trades that execute at worse prices than the protected quotations displayed by automated trading centers.[8] In other words, a trading center cannot "trade through" a better-priced quotation displayed by any exchange. Instead, a trading center must either immediately route incoming orders to the market displaying the best protected quotation or to execute the orders at a price at or better than the best protected quotation.[9]

When Congress enacted the 1975 Amendments, it identified five key components of a properly functioning NMS: efficiency, competition, price transparency, best execution, and order interaction.[10] As Chairman Atkins has stated, the U.S. equity markets are doing well in these areas, but "[t]hat is not to say that things cannot be improved."[11] We agree and believe today's market environment has developed despite, not because of, the SEC's prior efforts through Reg NMS to place its thumb on the scales by dictating how market participants interact. Robinhood agrees with Chairman Atkins that since Reg NMS was adopted, Rule 611 has not always served investors or broker-dealers well and that things can be improved.[12]

We support rescinding Rule 611 so the SEC can return to allowing competitive forces to shape our U.S. equity market structure as unnecessary regulatory restrictions are removed. Without Rule 611, markets can compete on price, improved technology and services, and reduced costs.[13] By eliminating costs associated with Rule 611, market participants can redeploy savings in the form of improved service offerings and execution quality in pursuit of retail order flow. Further, whether Rule 611 exists, broker-dealers continue to owe their customers a duty of best execution, and Robinhood will continue to leverage advancements in technology and foster competition among execution venues to drive better prices and lower costs for our customers.

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[7] *See* Dissent of Commissioners Cynthia A. Glassman and Paul S. Atkins to the Adoption of Regulation NMS (Jun. 9, 2005) (citing H.R. Rep. 94-123 "in the economic areas affecting the securities industry, competition, rather than regulation, should be the guiding force") ("Reg NMS Dissent"). Note that while Reg NMS did help unlock competition with the New York Stock Exchange ("NYSE") and the American Stock Exchange, we believe that similar results could have been achieved by eliminating the then existing trade-through rule for the Intermarket Trading System ("ITS").

[8] 17 CFR § 242.611.

[9] *See* Daniel Gallagher, *How to Reform Equity Market Structure: Eliminate "Reg NMS" and Build Venture Exchanges*, The Heritage Foundation (Feb. 23, 2017).

[10] 15 U.S.C. 78k-1(a)(1)(c)(i)-(v).

[11] *See* Paul Atkins, *Prepared Remarks of Paul S. Atkins at the SEC Investor Advisory Committee,* Patomak Global Partners, LLC (Jun. 10, 2021), https://patomak.com/2021/06/10/prepared-remarks-of-paul-s-atkins-at-the-sec-investor-advisory-committee-june-10-2021/.

[12] *See* Rule 611 Roundtable Press Release (Jul. 21, 2025).

[13] *See* Reg NMS Dissent at 29-34.

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<u>Trade-Through Rule and Resulting Effects</u>

The SEC implemented Reg NMS to spur electronic evolution and competition in the U.S. markets.[14] At the time, markets like the NYSE and American Stock Exchange continued to use trading-floor models, which were protected from competition by an earlier iteration of the trade-through rule within the ITS.[15] Even in that environment, it was not clear that a uniform trade-through rule across equity markets was necessary or that existing execution quality justified regulatory intervention.[16] Following the adoption of Rule 611, certain one-time benefits were realized. For instance, because Rule 611 protected only automated quotations, NYSE strategically embraced electronic quoting and trading, including through its merger with Archipelago Exchange.[17] Further, Rule 611 replaced the ITS trade-through rule, which was criticized by market participants for conferring undue benefits to NYSE specialists.[18] While these are examples of meaningful change that are correlated with Reg NMS, change may have nevertheless occurred given the coinciding advancements in technology, increased speed of order routing and execution, and the overall trend toward electronic trading.

When assessing the development of our NMS over the past twenty years, it is not clear the benefits provided by Rule 611 outweigh the unintended consequences. Industry participants have continued to express concern about the impact of Rule 611, offering critiques such as: "[Reg NMS] adds operational costs, it adds complexity, it's destabilizing"; "I don't think there have been benefits from Reg NMS. I view it as a nuisance"; "What none of us really thought about was that the competition would be all about prices and rebates"; and "If you were to start fresh, you wouldn't build what we have today."[19] The unintended consequences following Rule 611's implementation include (i) increased fragmentation in our NMS and (ii) increased costs and complexity associated with compliance with Reg NMS.

Effects of Fragmentation

Reg NMS and Rule 611 have enabled the excessive proliferation of stock exchanges, which does not ultimately benefit retail investors. Prior to Reg NMS, there were eight operating

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[14] *See* Adopting Release at 37500 (Jun. 9, 2005) (stating that "implementation of Regulation NMS likely will lead to a significant expansion of automated trading in exchange-listed stocks that both benefits all investors and opens up greater potential for electronic trading in such stocks than currently exists.").

[15] *Id.* at 37501.

[16] *See* Reg NMS Dissent at 10-14 (stating the SEC's Office of Economic Analysis misinterpreted market data that inflated the severity of trade-throughs that occurred on NYSE and Nasdaq markets. For instance, the estimated total cost of identified trade-throughs in 2003 was $321 million, which represented less than 1/100th of one percent of total dollar value of trading.).

[17] Shortly following the adoption of Reg NMS, the NYSE demutualized and merged with Archipelago Holdings Inc., which provided the NYSE with a fully electronic trading system, known today as NYSE Arca.

[18] *See* Adopting Release at 37579 ("Almost all commenters agreed that the current ITS trade-through rule must be fixed to accommodate the realities of today's NMS, in particular the differences in operation among automated and non-automated markets."). Since there was no inter-market price-time priority, NYSE specialists effectively had a last look at the market to determine whether to execute an order at a protected price or route away.

[19] Jacob Bunge, *A Suspect Emerges in Stock-Trade Hiccups: Regulation NMS*, The Wall Street Journal (Jan. 27, 2014), https://www.wsj.com/articles/SB10001424052702303281504579219962494432336.

equities exchanges (including Nasdaq),[20] whereas today there are 16. There has also been an exponential increase in the number and complexity of order types offered by exchanges, with one source estimating that exchanges offer 2,000 variations of order types.[21] While Robinhood supports innovation and competition in all parts of the marketplace, the proliferation of exchanges has neither spurred innovation nor increased competition among exchanges. Notably, many of these exchanges capture only *de minimis* market share.[22] Exchanges with a *de minimis* market share do not offer market participants substantive liquidity at depth or contribute to price discovery beyond displaying protected top-of-book quotations.[23] These exchanges exist not because of true market competition but because market participants are beholden to paying exchange connectivity and market data fees to satisfy Rule 611.[24] Robinhood believes that reducing exchange fragmentation would benefit our markets and investors as exchange costs indirectly factor into the execution quality Robinhood is able to obtain from wholesale market makers ("wholesalers") to which retail order flow is routed. Every dollar that is unnecessarily paid to an exchange is a dollar that may otherwise be used to provide a better investing experience for our retail customers.

Market forces have helped lead to the expansion in the number of off-exchange execution venues, including ATSs, Single Dealer Platforms (SDPs) and wholesalers. For example, while Rule 611 seeks to facilitate pre-trade price discovery in lit markets, certain ATSs and wholesalers offer pre-trade anonymity and reduce market signaling and market impact costs. Other participants may prioritize execution certainty, speed, counter-party selection, or consistency offered by ATSs and wholesalers. With 33 ATSs and multiple wholesalers and SDPs to choose from, market participants can competitively weigh multiple factors when determining where to route an order for execution. More recently, the increase in off-exchange volumes can be attributed to the rise in retail trading.[25] The growth in off-exchange trading is not a sign of declining market quality but a sign of increased participation and optionality away from lit venues.[26] While ATSs and wholesalers leverage the NBBO as a benchmark for executions, the

[20] *See* Memorandum - Rule 611 of Regulation NMS, SEC Division of Trading and Markets (Apr. 30, 2015) ("T&M Memorandum on Rule 611"), https://www.sec.gov/spotlight/emsac/memo-rule-611-regulation-nms.pdf.
[21] Herbert Lash, *Complaints Rise over Complex U.S. Stock Orders*, Reuters (Oct. 19, 2012), available at: http://www.reuters.com/article/us-exchanges-ordertypes/analysis-complaints-rise-over-complex-u-s-stock-orders-idUSBRE89I0YU20121019.
[22] Six exchanges account for approximately 80% of the volume traded on all exchanges while 10 exchanges individually account for less than a 2% market share. *See* U.S. Equities Market Volume Summary, Cboe Global Markets, Inc. (last visited on Sep. 16, 2025), https://www.cboe.com/us/equities/market_statistics/.
[23] Relevant to this consideration is a broker's obligation to execute a marketable customer order fully and promptly. *See* FINRA Rule 5310, Best Execution and Interpositioning, Supp. Mat. .01 Execution of Marketable Customer Orders.
[24] Rule 611 requires trading centers to be able to access all protected quotations and ingest exchange market data to avoid trading through protected quotes.
[25] *See* SIFMA Insights, *Analyzing the Meaning Behind the Level of Off-Exchange Trading*, Securities Industry and Financial Markets Association (Sept. 2021), https://www.sifma.org/wp-content/uploads/2021/09/SIFMA-Insights-Analyzing-Off-Exchange-Trading-09-2021.pdf.
[26] *Id.* at 25.

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increased number of exchanges do not substantially tighten spreads.[27] Yet, each exchange imposes unavoidable costs upon market participants. By removing Rule 611, costs due to fragmentation among exchanges may otherwise be used by market participants and wholesalers to provide better execution quality that benefits all investors.

Increased Complexity and Costs

Market complexity increased significantly following the adoption of Reg NMS because of the requirement for market centers and market participants to connect and have routing capability to all exchanges. It also increased due to pre-trade and post-trade operational compliance with the rules. This complexity, which Commissioners Atkins and Glassman predicted in 2005[28], is evidenced in part by the fact that the SEC staff published 61 FAQs discussing Reg NMS Rule 611 (and Rule 610) and how broker-dealers should operate in compliance with the Rule.[29] Whether intended, the resulting complexity imposes increased costs on market participants to access protected markets, including non-competitive exchanges that otherwise add little value to the NMS. These costs include connectivity fees as well as fees associated with accessing direct market data feeds, either directly or indirectly.

Retail investors are not always directly subject to these fees when retail firms like Robinhood utilize wholesalers for execution services. This is not to say retail investors are not indirectly affected. Wholesalers predominantly absorb the costs and exchange fees associated with Reg NMS compliance, which indirectly impact the services and quality of execution that is ultimately provided to the end retail customer. While competition among wholesalers has benefited execution quality for retail customers, any costs due to Rule 611 are dollars that could be repurposed for offering better execution quality to attract retail customer order flow. Given the costs imposed on market participants and the downstream impact on retail investors, it is worth questioning whether the Rule's relatively limited benefits to investors justify the Rule's continued existence.

<u>Guiding Principles</u>

In advocating for the rescission of Rule 611, we are driven by our belief that a broker's duty to provide best execution exists to protect investors, and the SEC should seek to foster

[27] *See* Phil Mackintosh, *What is the Value of Market Fragmentation?*, Nasdaq, Inc. (Jul. 30, 2020), https://www.nasdaq.com/articles/what-is-the-value-of-market-fragmentation-2020-07-30 (finding that the combination of the five largest exchanges would offer the tightest spread more than 96% of the time, while each additional competing exchange offers incremental value).

[28] Reg NMS Dissent at 27.

[29] *See* Division of Trading and Markets: Responses to Frequently Asked Questions Concerning Rule 611 and Rule 610 of Regulation NMS (last modified Apr. 4, 2008), https://www.sec.gov/divisions/marketreg/nmsfaq610-11.htm. This is a stark contrast to the 17 FAQs discussing Reg NMS Rule 612 and 3 FAQs addressing Reg NMS Rule 605. *See also* Division of Market Regulation: Responses to Frequently Asked Questions Concerning Rule 612 (Minimum Pricing Increment) of Regulation NMS (last modified Oct. 21, 2005), https://www.sec.gov/divisions/marketreg/subpenny612faq.htm; Division of Trading and Markets: Responses to Frequently Asked Questions Concerning Rule 605 of Regulation NMS (last modified Feb. 25, 2013), https://www.sec.gov/rules-regulations/staff-guidance/trading-markets-frequently-asked-questions-0.

competition among market participants and allow competitive forces, not overly prescriptive rules, to shape U.S. equity market structure. In doing so, we believe trading costs imposed on market participants will decrease and investors will in turn receive a better experience in the markets.

Best Execution

FINRA Rule 5310 requires broker-dealers to use reasonable diligence to ascertain the best market for a security such that the price the customer receives is as favorable as possible under the prevailing market conditions.[30] Robinhood is driven to provide its customers with the highest execution quality and we expect that our execution partners have access to all material liquidity in the market. In evaluating our execution quality, routing decisions and execution partners, we consider a range of execution factors beyond price. These include opportunities to receive price improvement, the likelihood of execution relative to order size, execution speed, and transaction costs.[31] These factors reflect what matters most to our customers.[32] Due to competition, wholesalers are incentivized to strengthen their relationships with retail brokers by consistently executing trades and offering competitive pricing for all retail customer orders. If a wholesaler fails to provide adequate best execution by our standards, we will move our order flow to one that does.

This competitive dynamic will continue to exist regardless of how the SEC determines to proceed with Rule 611. We believe rescinding the trade-through rule, and the associated cost savings described above, will facilitate wholesalers' ability to provide even greater price improvement and overall execution quality as they compete for retail order flow. In the absence of the trade-through rule, our duty to provide best execution will remain paramount to ensure retail customers continue to receive the best price under prevailing market conditions, which includes ensuring that market orders, marketable limit orders and non-marketable limit orders are executed as favorably as possible under prevailing market conditions.

Fostering Competition

We believe that permitting broker-dealers and market participants to determine their execution venues based on their own assessment of execution quality fosters competition under Section 11A of the Exchange Act.[33] For instance, while exchanges, as self-regulatory organizations, are shielded from liability in the event of a trading "glitch,"[34] ATSs and wholesalers do not possess such limited liability. As a result, ATSs and wholesalers are incentivized to provide superior service levels as compared to an exchange to attract liquidity. The trade-through rule's protection of automated quotations reflects a predilection for

[30] *See* FINRA Rule 5310. Best Execution and Interpositioning.
[31] *Id.*, Supp. Mat. .09, Regular and Rigorous Review of Execution Quality.
[32] *See Our Execution Quality*, Robinhood (last visited Sep. 16, 2025), https://robinhood.com/us/en/about-us/our-execution-quality/.
[33] 15 U.S.C. § 78k-1.
[34] *See, e.g.*, Santul Nerkar, *Trading Glitch Sends Some Shares on a Wild Ride*, New York Times (Jun. 3, 2024), https://www.nytimes.com/2024/06/03/business/nyse-trading-glitch-berkshire-hathaway.html.

government-controlled competition that supports exchanges, including those that add little value to the NMS.

Unlike any other moment in history, retail investors today have easy access to tools and platforms, educational resources, real-time market data and investment analytics. Access to these resources provides investors with greater confidence when participating in the market and comfort that they are receiving a high-quality execution experience. Robinhood pioneered the commission-free, no account minimums brokerage model to reduce investor costs and increase access to the stock market. We support rescinding Rule 611 as we believe the resulting reduction in complexity and costs and the interplay of competitive forces on exchanges are incremental steps to a financial system that works even better for everyone.[35] While our focus today is on the role of Rule 611, we encourage the SEC to further assess other Reg NMS rules impacted by or tangential to Rule 611.[36] We look forward to competitive forces driving innovation for the markets of today and of the future, as investors participate through both traditional means and evolving methods such as tokenized securities.

Robinhood appreciates the opportunity to comment on this important discussion. Please contact Robinhood's General Counsel, Lucas Moskowitz, at lucas.moskowitz@robinhood.com if you have any questions or comments.

Sincerely,

Signed by:
Matt Billings
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Matt Billings
President, Robinhood Financial, LLC and Robinhood Securities, LLC

[35] Robinhood supports a data-driven and methodical approach to rulemaking. If the SEC deems it appropriate, a pilot program could provide data and insight to inform the approach regarding Rule 611.

[36] For instance, while rules regarding disclosure of order routing and execution practices predate Reg NMS (see Rules 11Ac1-5 and 11Ac-6 which were replaced by Rules 605 and 606, respectively) the SEC may consider bolstering Rule 605 and Rule 606 reports to aid investor analysis of a firm's order routing and execution practices. Further, while acknowledging Rules 610 and 612 were just recently amended, routing fees associated with quote-through compliance imposes added costs on market participants and may seek to assess whether other methods exist to achieve the same net result of eliminating locked and/or crossed markets. Similarly, in the absence of Rule 611, the SEC should continue to assess sub-penny trading and the ability for exchanges to compete with wholesalers and ATSs. *See* Regulation NMS: Minimum Pricing Increments, Access Fees, and Transparency of Better Priced Orders, (Sept. 18, 2024), https://www.sec.gov/files/rules/final/2024/34-101070.pdf.